China Investment Dashboard: 2026Q2: Investment Momentum Weakened amid Fiscal Tightening

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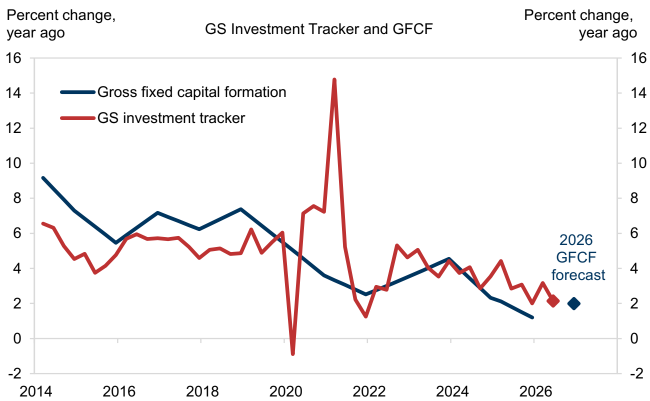
- **Investment momentum:** Headline FAI growth fell sharply in Q2 2026 after a brief Q1 rebound, with weakness broad-based across sectors. While we caution that occasional NBS "statistical corrections" of previously over-reported data may have amplified reported FAI volatility in recent quarters, alternative measures and fiscal data all point to investment momentum slowing in Q2. Divergence persisted between SOEs and non-SOEs, less-developed inland and more-developed coastal regions, and high-tech versus other industries. Our proprietary investment tracker suggests China's real investment growth made a round trip in H1 2026, rising from 2.0% yoy in Q4 2025 to 3.2% yoy in Q1 2026 before falling back to 2.1% yoy in Q2 2026.
- **Fiscal stance:** Strong Q1 GDP growth and resilient exports likely increased comfort with the growth trajectory among top leaders and reduced the urgency for incremental easing, while local officials became more cautious amid political turnover, anti-corruption pressure, and accountability risks. Tax revenue continued to rise on higher PPI inflation and stronger collection efforts. By contrast, government bond issuance and proceeds spending slowed meaningfully in Q2, while some off-budget financing channels—such as land sales and policy bank support—contracted more sharply than usual. Together, these developments turned the fiscal impulse negative at an inopportune time, as the global energy-supply shock also weighed on growth. We estimate the negative fiscal impulse contributed to nearly half of the sequential real GDP slowdown from Q1 to Q2 (from 5.3% qoq annualized to 3.6% qoq annualized).
- **Property sector:** Local housing easing slowed in Q2, and property activity continued to contract despite recent green shoots in some large cities. Most property activity indicators were down 60-80% from their 2020-21 peaks as of Q2, led by new home starts and land sales revenue, which do not bode well for home construction and completions in coming years given their lead-lag relationship. From a global perspective, the decline in new home starts has exceeded the US housing bust during the GFC, while the home price decline appears modestly larger than the average "large housing bust" based on global experience. Hong Kong property prices have rebounded by around 18% since mid-2025, while home prices in some Mainland China Tier-1 cities have begun to show early signs of stabilization. Housing inventory has moderated in recent months, helped by improved new home sales.
- **Investment outlook:** We recently lowered our 2026 full-year AFD forecast by 0.5pp of GDP to 11.5% (vs. 11.0% in 2025) after incorporating H1 realized

numbers. Following the sharp Q2 fiscal tightening, however, our forecast still implies a modest H2 expansion. We expect central and local governments to accelerate bond issuance and proceeds spending in coming months, speed up implementation of the RMB800bn new policy-based financial instrument, and leave the door open for additional easing later this year if needed. The Politburo's call at its July meeting to "step up counter-cyclical adjustments, and make greater efforts to expand domestic demand and optimize supply" reinforces our view. The government spending focus continues to tilt toward high-tech manufacturing, strategic supply chains, the green transition, urban renewal, and "Six Networks" projects. We also recently cut our 2026 gross fixed capital formation (GFCF) growth forecast to 2.0% yoy from 2.5% yoy previously after incorporating Q2 realized data (vs. 1.2% in 2025), with risks still two-sided. Upside risks could come from additional extra-budget funding and new demand-side measures, while downside risks stem from continued central-level complacency and increasing local implementation constraints.

2026Q2: Investment Momentum Weakened amid Fiscal Tightening

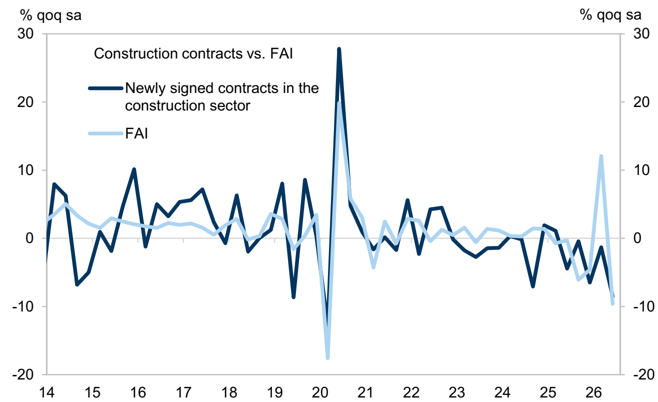
1. Investment momentum – A slowdown in Q2, but milder than reported FAI data imply

Exhibit 1: Our investment tracker suggests China's real investment growth declined to 2.1% yoy in Q2 from 3.2% yoy in Q1



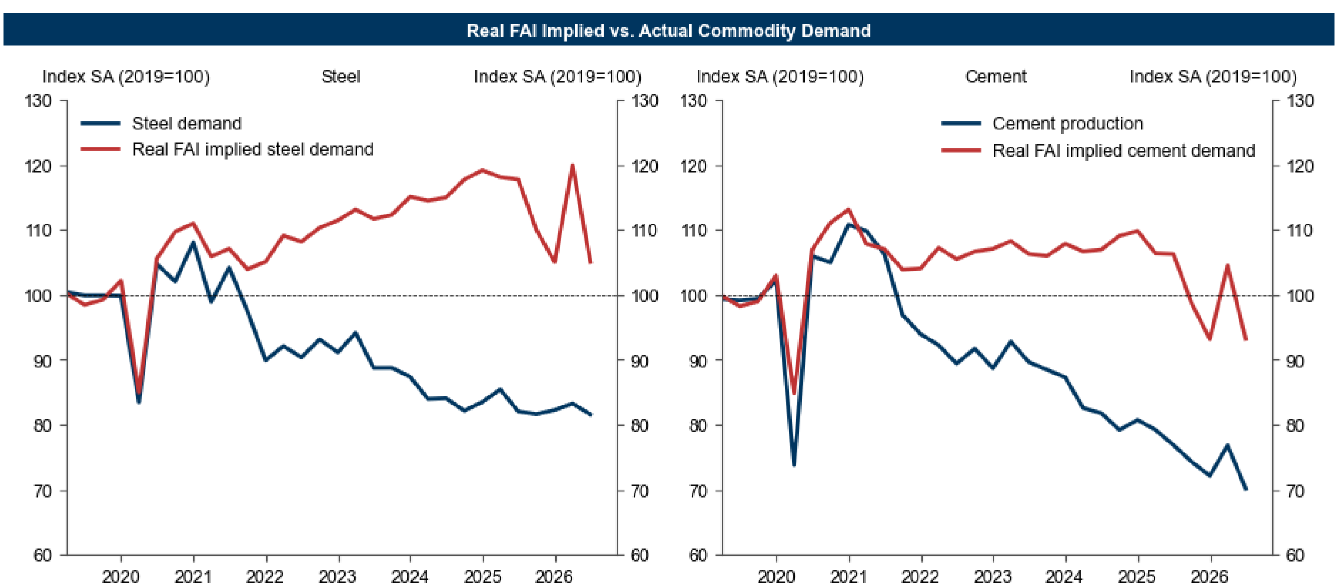
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 2: Newly signed contracts in the construction sector and headline FAI both declined sequentially in Q2



Source: NBS, Wind, Data compiled by Goldman Sachs Global Investment Research

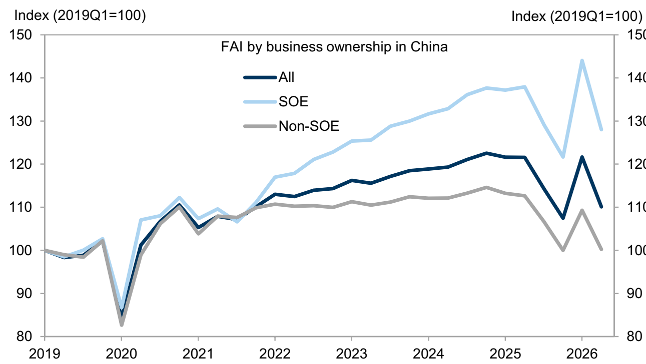
Exhibit 3: Steel and cement output both weakened in Q2, but their volatility was smaller than FAI-implied commodity demand in recent quarters



Real FAI-implied commodity demand is calculated by applying sector-specific multipliers—covering property, infrastructure, and manufacturing—to the value-added of each commodity. We use a construction-sector-specific index to adjust FAI to real terms.

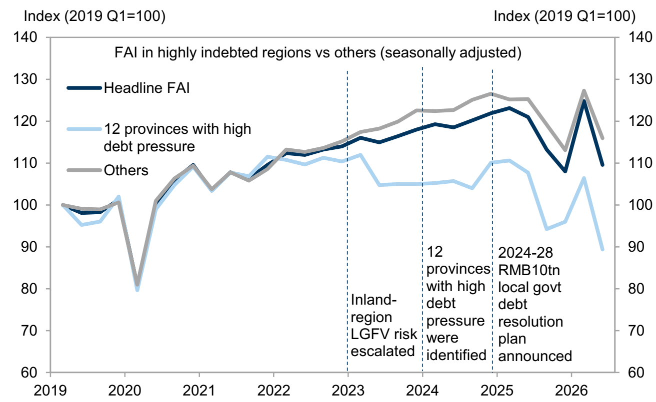
Source: CEIC, Mysteel, Goldman Sachs Global Investment Research

Exhibit 4: FAI by both SOEs and non-SOEs showed a synchronized decline in Q2, with the gap still wide



Source: CEIC, Goldman Sachs Global Investment Research

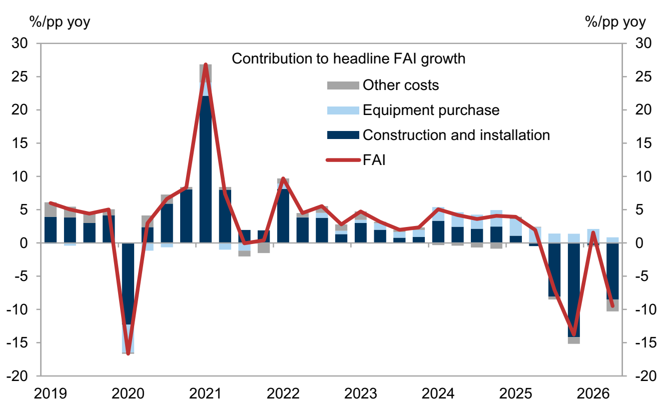
Exhibit 5: FAI divergence between less developed inland provinces and coastal regions has been significant since 2023



The 12 provinces with high debt pressure include Guizhou, Tianjin, Yunnan, Inner Mongolia, Liaoning, Jilin, Chongqing, Guangxi, Heilongjiang, Gansu, Ningxia, and Qinghai, as listed in the "Document #47".

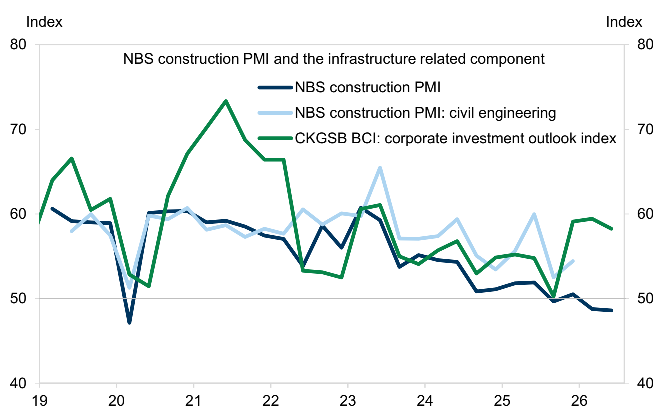
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 6: The significant volatility in reported FAI growth in recent quarters stems from construction and installation, while the contribution from equipment purchases remained positive



Source: Wind, Goldman Sachs Global Investment Research

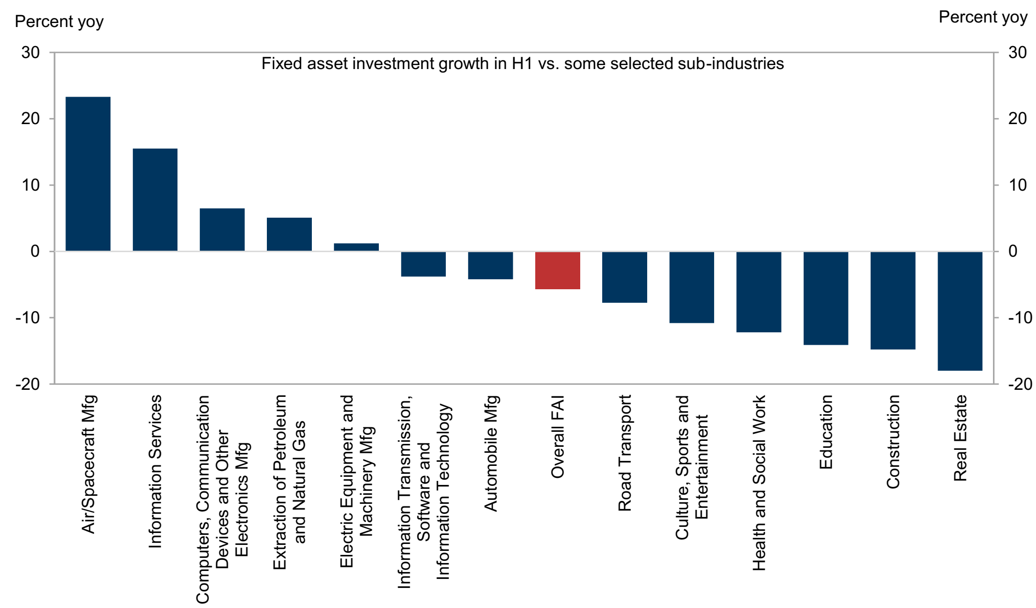
Exhibit 7: The quarterly averages of investment-related PMIs eased in Q2, despite still-wide divergence among different measures



NBS has suspended publication of the civil engineering-related construction PMI since early 2026. The CKGSB BCI survey covers all industries but is more weighted toward private SMEs, while the NBS construction PMI focuses only on the construction sector and is more weighted toward large enterprises.

Source: NBS, CFLP, Wind, Data compiled by Goldman Sachs Global Investment Research

Exhibit 8: High-tech related investment growth continued to outperform other investment growth in H1

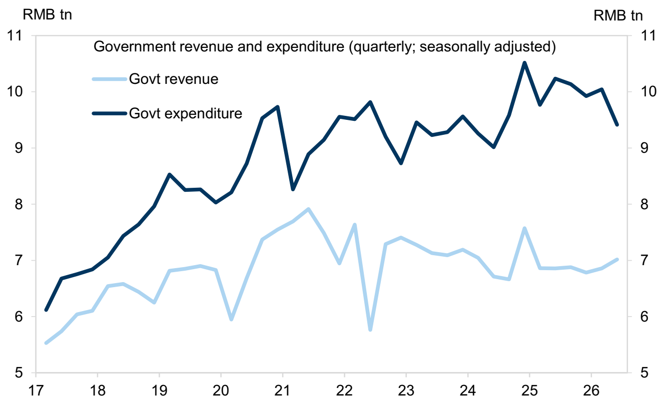


Our estimates for infrastructure investment are based on GS definition, which includes not only the three sectors under the NBS classification (i.e., transport, storage & postal service; water conservancy & environmental protection; and electricity, gas & water production and supply), but also four more industries that provide public goods mainly by the government sector (e.g., scientific research & polytechnic service; education; healthcare, social security & welfare; and culture, sport & entertainment).

Source: CEIC, Wind, Goldman Sachs Global Investment Research

2. Fiscal stance – Fiscal impulse turned negative in Q2

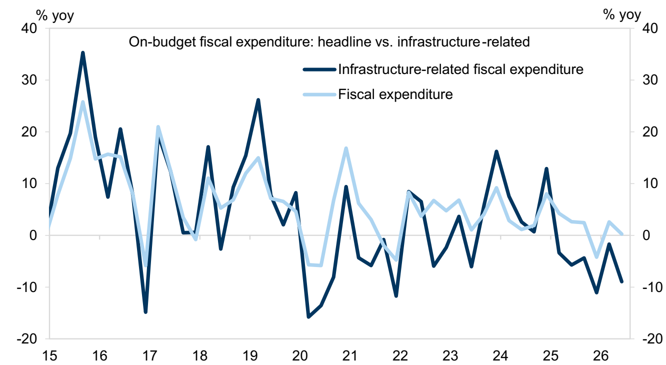
Exhibit 9: Government revenue continued to increase in Q2, while government expenditure declined sequentially



Government revenue and expenditure cover both the general public budget and the government-managed fund budget.

Source: Wind, Goldman Sachs Global Investment Research

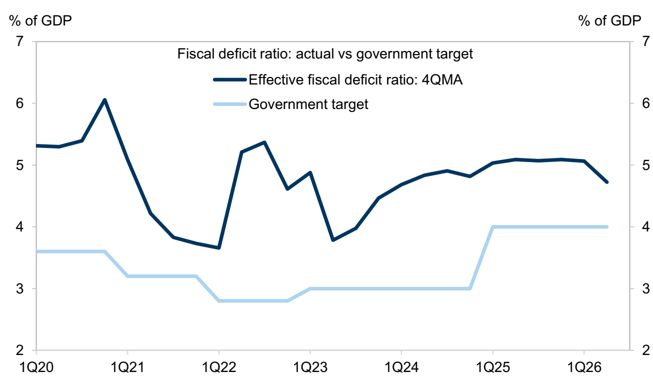
Exhibit 10: Year-on-year fiscal expenditure growth slowed in Q2, mainly weighed on by falling spending in infrastructure-related areas



We define infrastructure-related fiscal spending as on-budget fiscal spending on energy saving & environment protection, agriculture & water conservancy, transportation, and urban & rural community affairs.

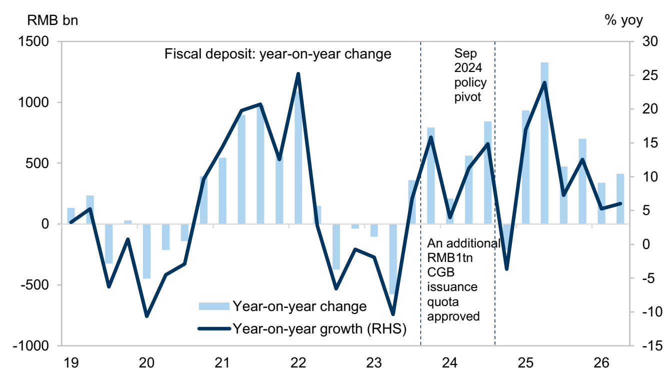
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 11: Effective fiscal deficit ratio narrowed in Q2 on a four-quarter moving-average basis, although it remained above the official fiscal deficit target



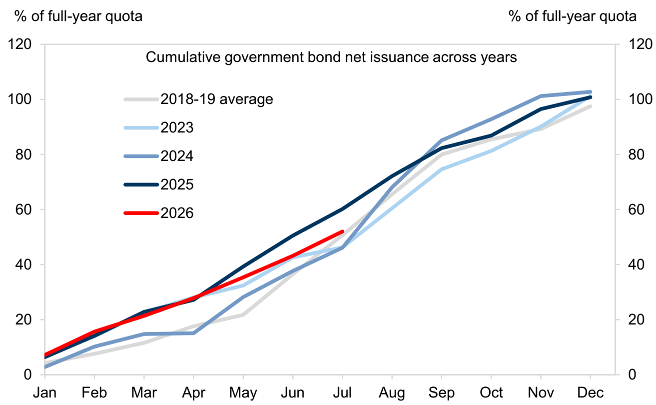
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 12: The outstanding fiscal deposit amount was RMB410bn (or 6%) above the year-ago level at end-Q2, slightly wider than the gap seen at end-Q1



Source: CEIC, Goldman Sachs Global Investment Research

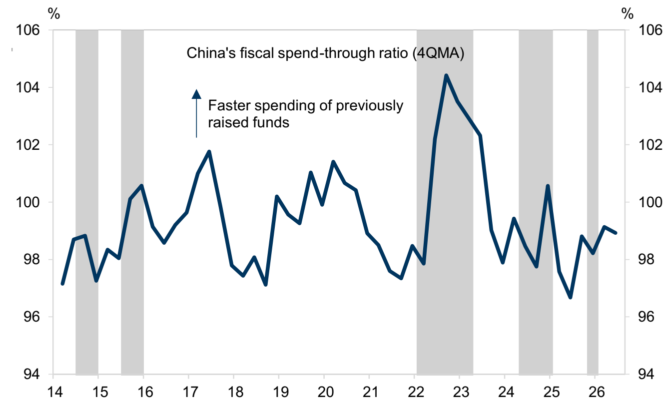
Exhibit 13: The pace of government bond issuance began to lag its 2025 run rate in Q2 this year



Full-year quotas refer to those approved in the budget report during March "Two Sessions". Extra-budget bond issuance quota approved later was not included when estimating the run rates. July 2026 print refers to GS advance estimate based on Wind data.

Source: Wind, Goldman Sachs Global Investment Research

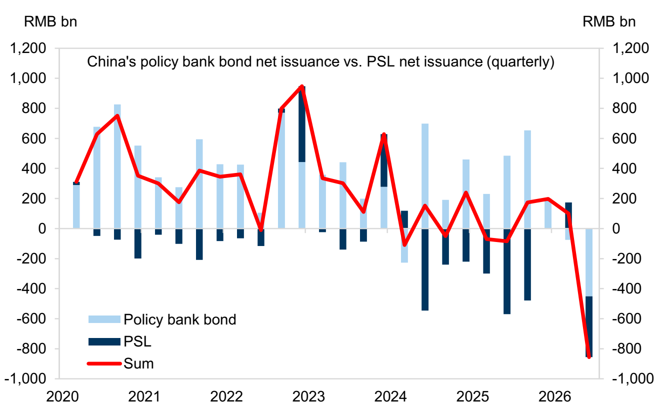
Exhibit 14: China's fiscal "spend-through" ratio moderated in Q2 despite slower government bond issuance



Shaded areas refer to periods when China's year-to-date real GDP growth was equal to or below the full-year growth target. Note that the Chinese government didn't set a national growth target for 2020.

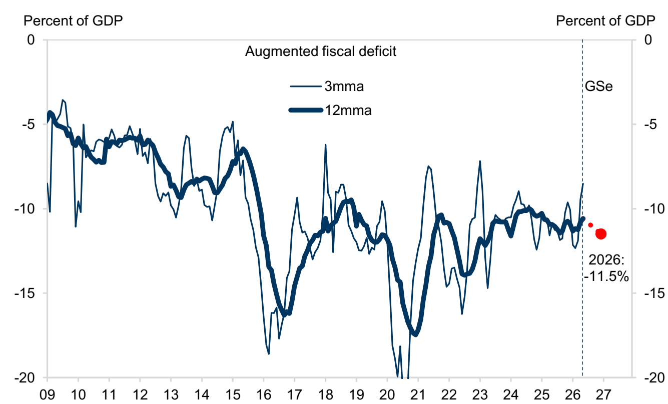
Source: MOF, Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 15: Policy bank support contracted sharply in Q2, with PSL and bond net issuance both falling



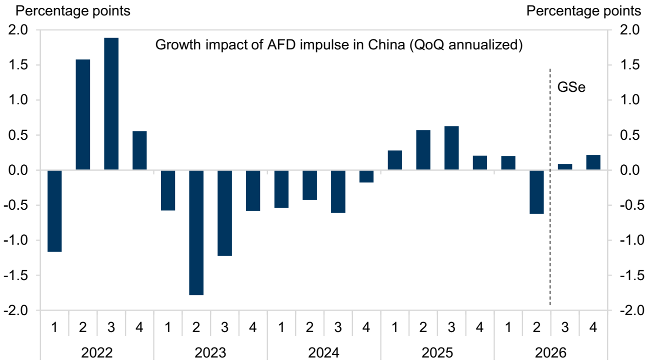
Source: Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 16: China's AFD narrowed notably to 10.2% of GDP in Q2 from 11.2% in Q1 on a 4QMA basis, while we expect it to expand in H2



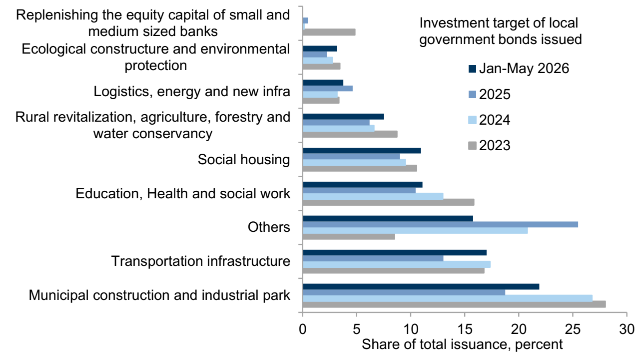
Source: Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 17: We expect the fiscal impulse to shift from a growth drag in Q2 to a modest driver in H2



Source: Goldman Sachs Global Investment Research

Exhibit 18: Municipal construction and industrial parks accounted for the largest share of local government bonds (LGB) proceeds spending in the first five months of 2026



"Others" in 2024-26 may include local government repayment for corporate arrears and delayed salaries to civil servants.

Source: MOF, Goldman Sachs Global Investment Research

Exhibit 19: Our anti-corruption intensity proxy remained elevated in Q2 2026

Note: The proxy represents the number of government officials announced as under investigation each quarter. National level is deputy ministerial level and above; local level is any level but in practice mostly deputy bureau level and above.

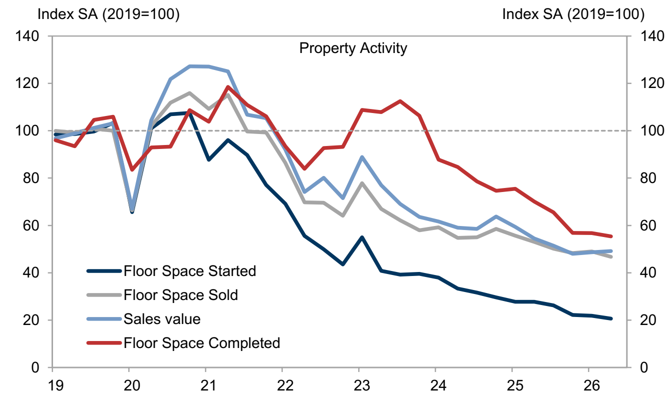
Source: CCDI, Goldman Sachs Global Investment Research

3. Property sector – Continued downturn nationwide despite some “green shoots” in large cities

Exhibit 20: The pace of property easing has slowed meaningfully since end-2024

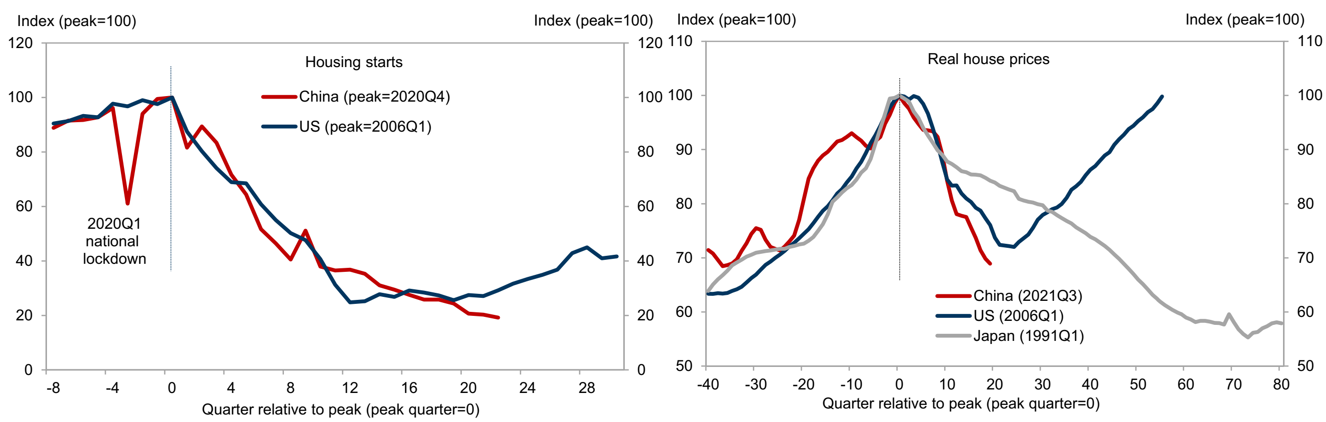
Source: Goldman Sachs Global Investment Research

Exhibit 21: Some property activity indicators started to show signs of stabilization, though sustainability remains uncertain



Source: Goldman Sachs Global Investment Research, Haver Analytics

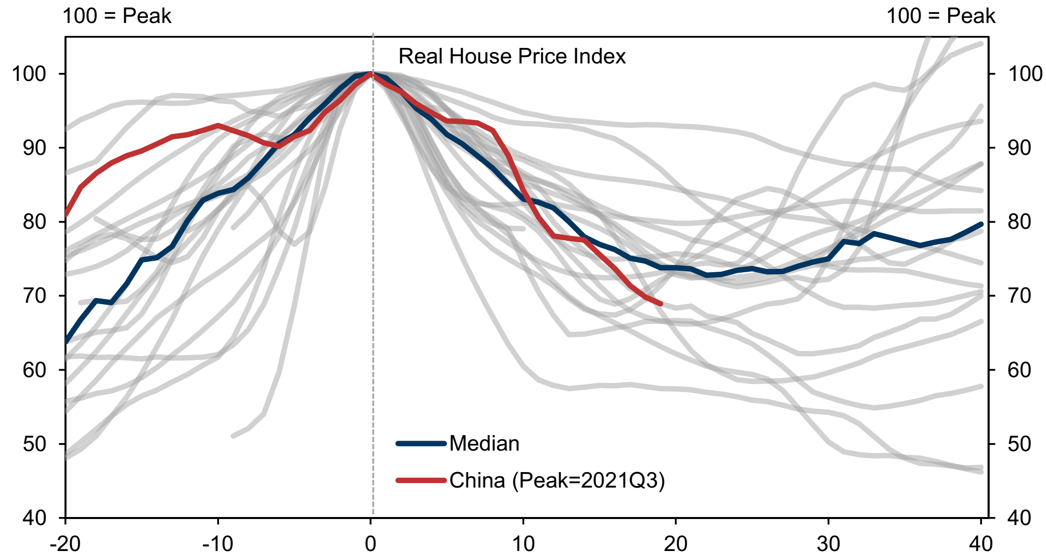
Exhibit 22: The magnitude of declines in China’s new home starts and home prices from their 2020-21 peaks has slightly exceeded the US housing bust during the GFC



We used a simple average of the Centaline 6-city and NBS 70-city secondary market prices as an input to measure China’s real house prices.

Source: Centaline, NBS, Haver Analytics, Goldman Sachs Global Investment Research

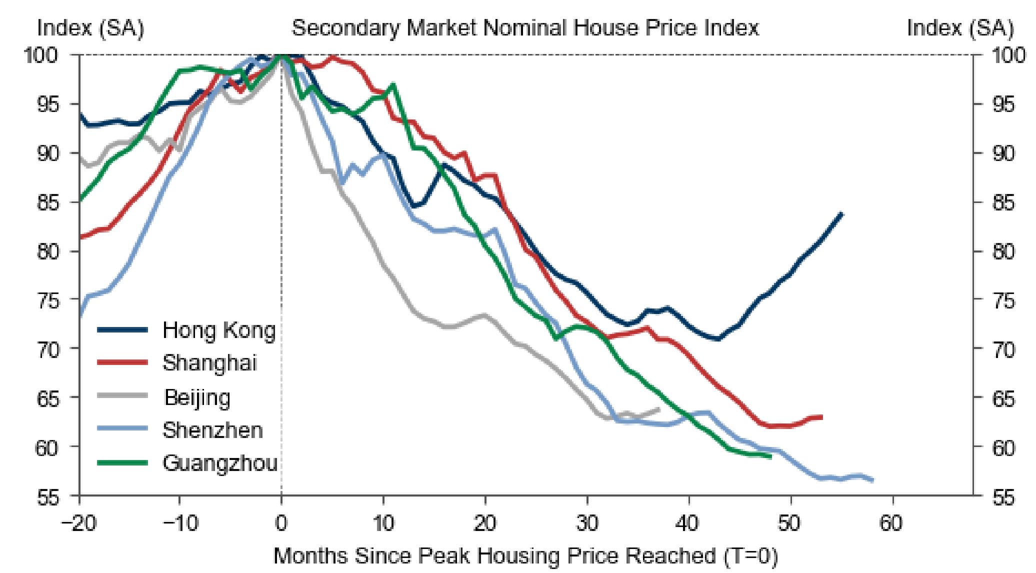
Exhibit 23: China's home price decline appears slightly larger than a typical "large housing bust" based on global experience



The benchmark illustrates 21 large housing booms/busts across 15 economies around the world since the 1960s.

Source: OECD, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 24: Hong Kong property prices have rebounded by around 18% since mid-2025, while home prices in some Mainland China Tier-1 cities have begun to show early signs of stabilization



Peak month refers to November 2021 for Hong Kong, May 2023 for Beijing, January 2022 for Shanghai, June 2022 for Guangzhou and August 2021 for Shenzhen, based on Centaline secondary home price data.

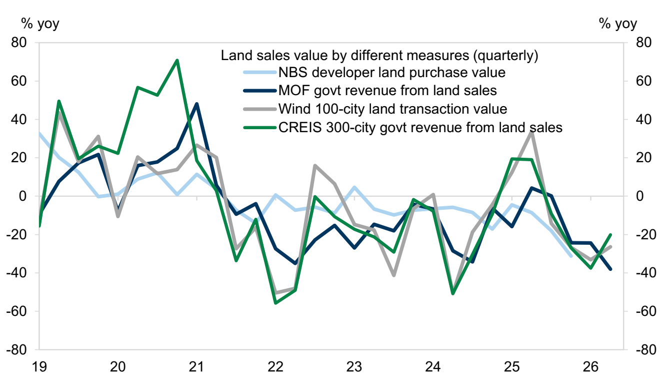
Source: Wind, Data compiled by Goldman Sachs Global Investment Research, Centaline

Exhibit 25: Most property activity indicators have contacted by 60-80% from 2020-21 peaks as of end-Q2 2026, led by new home sales and land sales revenue

All metrics other than Wind home sales volume and Centaline secondary home prices are for national total.

Source: NBS, Centaline, Wind, Data compiled by Goldman Sachs Global Investment Research

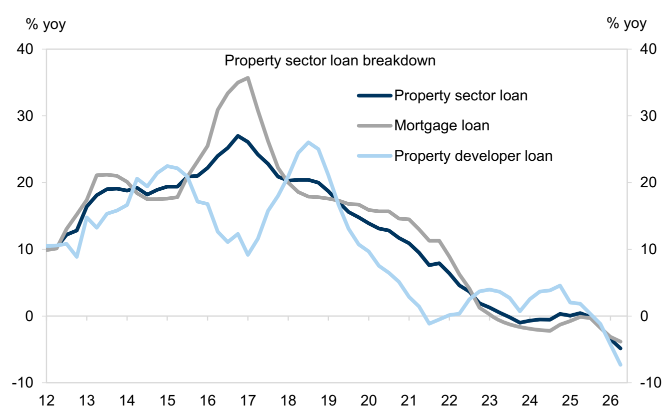
Exhibit 26: Land sales maintained double-digit year-on-year contraction in Q2 across various measures



NBS suspended the release of developer land purchase value in early 2026.

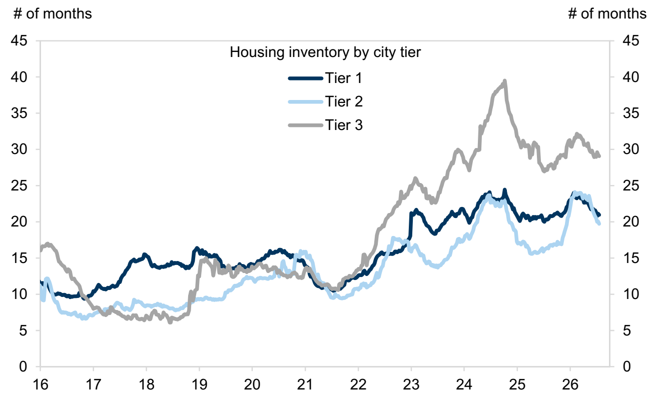
Source: Wind, CREIS, Data compiled by Goldman Sachs Global Investment Research

Exhibit 27: Year-on-year contraction in bank lending to the property sector widened further in Q2



Source: PBOC, Wind, Data compiled by Goldman Sachs Global Investment Research

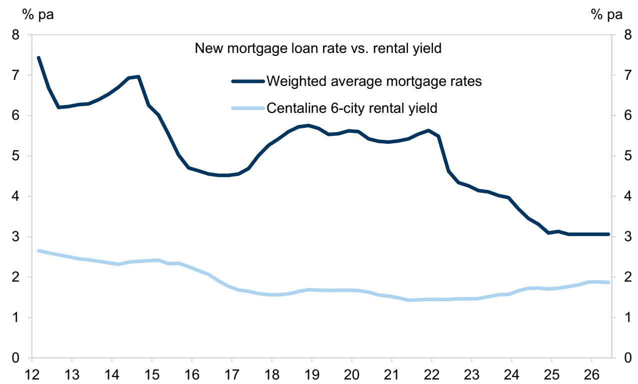
Exhibit 28: Housing inventory moderated in recent months, thanks to an improvement in new home sales



Housing inventory is estimated as housing inventory levels divided by the number of 12-month moving average new home sales.

Source: CREIS, Data compiled by Goldman Sachs Global Investment Research

Exhibit 29: New mortgage interest rates remained above housing rental yields



Source: Wind, Data compiled by Goldman Sachs Global Investment Research

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